

to capital, as ESG-compliant firms attract more investment from climate-conscious funds and global investors; improved creditworthiness, since banks and NBFCs are integrating ESG factors into lending models; enhanced IPO readiness, as transparency builds trust and reduces information asymmetry; greater client acquisition, especially since many global corporations require ESG disclosures across their supply chains; and higher employee engagement, as

NTPC, SAIL, and Indian Railways having adopted climate targets and begun disclosing Scope 1, 2, and sometimes Scope 3 emissions.

Globally, climate disclosure mandates are expanding. For example, IFRS S1 & S2 (ISSB standards) focus on financial materiality and climate-specific data; the EU's CSRD & ESRS require detailed ESG reporting by large listed and unlisted firms starting in 2026; the SEC in the US is introducing phased climate risk disclosure, including

pathways. The RBI's move reflects its recognition that climate vulnerabilities could reduce GDP by up to 4.5% by 2030, and financial institutions are expected to reallocate capital away from carbon-intensive assets, pushing their corporate borrowers to become more climate-transparent.

While carbon emissions dominate climate discussions, other environmental factors such as water usage and stress, waste generation and circularity, biodiversity and land use, and energy mix and intensity also carry significant business risks and opportunities. As global ESG standards evolve, these non-GHG metrics will become an increasingly important part of sustainability disclosures.

For private companies, the key takeaways are to start early with voluntary reporting to prepare for future mandates, leverage existing frameworks like BRSR, GRI, and ISSB for credible disclosures, build internal capacity by training sustainability teams and integrating ESG into core strategy, and engage stakeholders through transparent communication to build trust and enhance brand value.

In conclusion, the case for climate reporting by unlisted private companies in India is both compelling and urgent. As global standards converge and stakeholder expectations rise, transparent climate disclosures are becoming a hallmark of responsible business. By adopting robust reporting practices, India's private sector can mitigate risks, attract investment, and play a pivotal role in advancing the nation's sustainable future. **BT**

Views are personal

FOR PRIVATE COMPANIES, THE KEY TAKEAWAYS ARE TO START EARLY WITH VOLUNTARY REPORTING TO PREPARE FOR FUTURE MANDATES, BUILD INTERNAL CAPACITY THROUGH TRAINING

114 |

sustainability is a key value for younger, mission-driven talent.

Several large Indian conglomerates and unlisted IT firms already publish voluntary climate reports aligned with frameworks such as GRI, CDP, or TCFD, with disclosures often extending to water consumption and conservation strategies, renewable energy adoption, circular economy practices, waste reduction, and biodiversity preservation measures. Smaller firms, particularly in export-driven sectors, are following suit to remain globally competitive. Infrastructure companies, including many state-owned entities, are especially important due to their significant carbon footprints, with leaders like

potential Scope 3 requirements; and Singapore will require large unlisted firms with more than S\$1 billion in revenue to file assured climate reports aligned with ISSB from FY27. These frameworks are converging to form a global baseline that Indian regulators and companies will need to align with.

The Reserve Bank of India (RBI) has introduced a Draft Disclosure Framework on Climate-related Financial Risks for financial institutions, starting from FY26. This framework requires disclosures on climate governance, strategy, risk management, and metrics/targets, including both absolute and financed emissions, as well as scenario analysis to assess resilience under various climate